

Testahil — Emirates Integrated Telecommunications Company PJSC (DFM: DU)

Companion model · Independent Valuation Study · Educational analysis · Not investment advice

What this workbook is. A transparent companion to the du valuation study. Every blue cell is an input; every black cell is a formula; green cells link across sheets.

IT IS FORMULA-DRIVEN. Every figure that can be derived arithmetically from a driver is a live formula, so you can change a blue cell on Assumptions and watch the model reprice: the cost of capital is built from the risk-free rate net of the sovereign spread, beta and the premium rather than pasted; the discount factors compound from the glide; and the income statement, balance sheet, cash flow, ratios and all four lenses chain off the same cells.

THREE THINGS ARE PASTED VALUES, and it is worth knowing exactly which. First, audited and disclosed history — the primary record, not a calculation. Second, the unit build's output: forecast revenue for the four segments the company itself discloses (Mobile, Fixed, Wholesale, ICT and associated telecom services). Mobile and Fixed are built bottom-up as subscribers x ARPU — the driver table is shown on the Segments sheet — and Wholesale and ICT are grown at segment level because the company discloses no unit KPIs for them; only the build's OUTPUT (segment revenue per year) is pasted, and everything downstream of it is formula. Third, whole-model engine outputs, where each figure is a complete re-run of the entire valuation and so cannot be a single formula: the Monte Carlo price map, the sensitivity grids, and the DCF scenario bear/bull bounds. Everything else — including every lens base value, the relative/normalised/book bear and bull bounds, and the anchor-date roll — is a live formula. Changing a driver reprices the model but does NOT redraw the engine outputs.

How revenue is built. Not as one growth rate. Mobile = average subscriber base x blended ARPU x 12; the subscribers-x-ARPU frame reproduces the audited FY2025 mobile segment to within 0.1%. Fixed = subscriber base x implied revenue per subscriber (a consumer-plus-enterprise blend, so an intensity metric, not a tariff). Wholesale and ICT are grown on their own paths — the war-hit roaming/transit recovery and the data-centre ramp respectively. Contribution margins are the audited Note 38 rates; the opex stack below them carries ONE escalator per cost class. Group EBITDA margin is an OUTPUT of all of this, not an input.

The fiscal regime — the study's contested judgement. The 38% federal royalty + 9% corporate tax regime (43.6% combined take) is legislated for 2024-2026 only. The base model carries it forward (Framing A); the Fundamental Valuation sheet also shows the DCF under a reversion to the pre-2024 construction (Framing B, a 51-52% take). Both are shown; they are never averaged.

What it is not. It is not investment advice, a recommendation, or a price target. Values are model outputs shown as ranges.

Sourcing note, up front. FY2023, FY2024 and FY2025 all come from the company's own audited consolidated financial statements read from investors.du.ae, and H1-2026 from the KPMG-reviewed interims — every income-statement, balance-sheet and segment line is the filed figure. Segment revenue ties EXACTLY to consolidated revenue in every year (Note 38). du carries ZERO drawn borrowings in every year studied; the only debt-like item is IFRS-16 lease liabilities, and the bridge treats them as debt. Every input is annotated where it appears and listed with source and date in the companion bibliography document.

Discount convention. Each explicit year is discounted at its own forward cost of capital, gliding 6.24% -> 6.01% on the AED risk-free path (du has no debt whose cost could define the glide); the terminal value is capitalised at the terminal rate and discounted at the year-5 cumulative factor. One date, one price of time: the bridge is dated 31-Dec-2025 and rolled to the 07-Aug-2026 anchor at the cost of equity, net of the AED 0.40 final dividend paid 28-Apr-2026.

Currency. AED million unless stated. Spot AED 12.30 (2026-08-07 close). Sheets: READ FIRST · Summary · Fundamental Valuation · Assumptions · SOTP Bridge · Segments · Relative & Normalized · DCF · Income Statement · Balance Sheet · Cash Flow · Summary Financials · Monte Carlo · Sensitivity · Per-Share & Ratios · Peer & Sector.

Summary — valuation at a glance

All values link live to their source sheets

Lens	Bear	Base	Bull	Weight	Contribution	vs spot
Discounted cash flow (primary)		10.97	19.14	29.58	45.0%	8.61 55.6%
Relative multiples		8.27	10.80	12.96	25.0%	2.70 (12.2%)
Normalised earnings power		8.25	10.78	12.94	20.0%	2.16 (12.4%)
Book value and sustainable return		9.74	15.07	16.34	10.0%	1.51 22.5%
Weighted central		8.25	14.98	29.58	100.0%	21.8%
Alternative reading — the fiscal regime reverts (Framing B DCF)			16.29			32.4%
Terminal value share of DCF enterprise value			85.5%			
Expert panel median			19.04			54.8%
Market price (anchor)			12.30			

Key figure	Value
Shares outstanding (mn)	4,533
Market capitalisation (AED mn)	55,755
Lease liabilities, FY2025 (AED mn) — the only debt-like item	1,939
Cash and term deposits, FY2025 (AED mn)	2,250
FY2025 revenue (AED mn)	15,905
FY2025 EBITDA (AED mn)	7,338
FY2025 net profit (AED mn)	2,905
Cost of capital — explicit window	6.2%
Cost of capital — terminal	6.0%
Terminal growth	2.5%

Fundamental valuation — the four lenses and the contested judgement

Lens / step	Basis	AED per share
Discounted cash flow	links to the DCF st	19.14
bear	ARPU −5%, subscri	10.97
bull	ARPU +3%, subscri	29.58
Relative multiples	15.5x justified P/	10.80
Normalised earnings power	15.5x normalised e	10.78
Book value and sustainable return	justified price-to-	15.07
Weighted central		14.98

THE CONTESTED JUDGEMENT — THE POST-2026 FISCAL REGIME, BOTH WAYS

Framing A (base): 38% royalty + 9% tax persist — combined take	43.6%
Fair value under Framing A (the primary DCF)	19.14
Framing B: reversion to the pre-2024 construction — year-1 take	51.5%
15% of regulated revenue (69.0% share) + 30% of the regulated profit remainder	
Fair value under Framing B (engine re-run of the same DCF)	16.29
The judgement is worth (A minus B, per share)	2.85

EXPERT PANEL

Expert	Method	Base (AED/share)	Low	High
Expert 1	earnings power	9.88	7.82	11.59
Expert 2	dividend stream	19.32	10.19	22.54
Expert 3	cash returns vs co:	19.04	12.64	21.32
Panel median		19.04		

The risk-free tenor question, priced

There is no liquid 10-year AED government point. The base model uses the Jan-2031 AED T-bond (4.48%); discounting instead at the peg-extrapolated 10-year proxy (4.69%) is an

18.09

Assumptions — every input in the model

Blue cells are inputs. Change one and the model reprices: everything downstream is a formula.

Input	FY26E	FY27E	FY28E	FY29E	FY30E
Anchors					
Spot price (AED)		12.30			
Shares outstanding (mn)		4,533			
Combined federal royalty + income tax rate (Framing A, audited FY2025)		43.6%			
Regulated revenue share (Framing B base, audited FY2023)		69.0%			
Framing B — royalty rate on regulated revenue		15.0%			
Framing B — royalty rate on regulated profit		30.0%			
Unit build — mobile and fixed (subscribers x ARPU)					
Mobile subscribers, end of year ('000)	9,450	9,760	10,010	10,240	10,450
Fixed subscribers, end of year ('000)	760	790	815	838	858
Blended mobile ARPU (AED/month)	63.4	63.6	63.8	64.0	64.2
Implied fixed revenue per subscriber (AED/month)	537	545	553	561	569
Wholesale revenue growth	(0.8%)	1.5%	2.0%	2.0%	2.0%
ICT and associated telecom revenue growth	7.9%	11.0%	10.0%	9.0%	8.0%
Segment contribution margins (audited FY2025 rates; ICT lifted on scale)					
Mobile — contribution margin	60.8%	60.8%	60.8%	60.8%	60.8%
Fixed — contribution margin	85.8%	85.8%	85.8%	85.8%	85.8%
Wholesale — contribution margin	86.4%	86.4%	86.4%	86.4%	86.4%
ICT — contribution margin	19.4%	20.0%	20.5%	21.0%	21.5%
Operating expense stack — one escalator per cost class					
Staff cost, FY2026E level (AED mn)		985			
Staff escalator (UAE wage inflation)		2.0%			
Network & maintenance, FY2025 base (AED mn, audited)		964			
Network escalator (network scale)		3.0%			
Administrative expense, FY2025 base (AED mn, audited)		190			
Administrative escalator (CPI)		2.0%			
Other operating expense, FY2025 base (AED mn, audited)		133			
Other-expense escalator (CPI)		2.0%			
Marketing / revenue		1.8%			
Telecom licence and related fees / revenue (regulatory revenue share)		2.7%			
Expected credit losses / revenue		1.5%			
Other operating income (AED mn/yr)		15			
Capital intensity and working capital					
Capital expenditure / revenue	15.5%	15.0%	14.5%	13.5%	13.0%
Tangible share of capex (audited FY2025)		86.6%			
PP&E depreciation rate on opening balance (audited FY2025)		15.8%			
Intangibles amortisation rate on opening balance (audited FY2025)		28.9%			
Right-of-use depreciation = lease replacement capex (AED mn)	355	350	345	340	335

Net working capital / revenue (audited FY2025 component days)	(6.7%)				
---	--------	--	--	--	--

Cost of capital

Risk-free rate — Jan-2031 AED T-bond (longest liquid AED tenor)	4.5%				
UAE sovereign default spread (netted out; Aa2 rating basis)	0.4%				
Equity risk premium (UAE total, rating basis)	4.9%				
Beta (DU weekly vs DFM General Index, 5y)	0.472				
Marginal cost of debt (AED sovereign + GCC telecom spread)	5.1%				
AED risk-free path (defines the glide)	4.5%	4.4%	4.4%	4.4%	4.3%
Terminal risk-free rate	4.3%				
Terminal equity risk premium	4.9%				
Terminal cost of debt	4.9%				
Terminal debt weight	5.0%				
Terminal growth	2.5%				

Balance-sheet and bridge anchors

Lease liabilities at FY2025 (AED mn, audited — the only debt-like item)	1,939
Cash and term deposits at FY2025 (AED mn, audited)	2,250
Equity-accounted investees at carrying value (AED mn)	0.5
Forecast dividend payout ratio (FY2024 actual 98%, FY2025 ~100%)	98.0%
Yield on cash and term deposits (audited FY2025 effective)	3.3%
Lease interest rate (audited FY2025 effective)	3.6%
Final FY2025 dividend paid 28-Apr-2026 (AED/share)	0.40
Days from the 31-Dec-2025 valuation date to the 07-Aug-2026 anchor	219

Lens inputs

Justified price/earnings (GCC telecom peer median)	15.50x
Peer benchmark dividend yield	5.2%
Sustainable return on equity	27.0%
Weight — discounted cash flow	45.0%
Weight — relative	25.0%
Weight — normalised	20.0%
Weight — book	10.0%

Enterprise value to equity — the bridge

du has no drawn borrowings and no minority interests: the bridge is leases out, cash and deposits in

Step	AED mn	Per share (AED)	
Present value of the five forecast years		12,362	2.73
Present value of the terminal value		72,697	16.04
Enterprise value		85,059	18.76
Less lease liabilities (the only debt-like item)		(1,939)	(0.43)
Plus cash and term deposits		2,250	0.50
Plus equity-accounted investees at carrying value		1	0.00
Equity value		85,370	18.83

Terminal value as a share of enterprise value 85.5%

No minority interests: every subsidiary is wholly owned (the two H1-2026 Cayman SPVs are 100%-held); non-controlling interests do not appear on the audited balance sheet.

Segments — the unit build and the margin stack

FY2025 disclosed revenue and contribution margins; forecast segment revenue is the unit build's OUTPUT (pasted, blue) and everything below it is formula

Segment	FY2025 revenue	Share	FY2025 margin	FY26E	FY27E	FY28E	FY29E	FY30E
Mobile	7,075	44.5%	60.8%	7,209	7,331	7,568	7,776	7,970
Fixed	4,380	27.5%	85.8%	4,806	5,069	5,325	5,564	5,790
Wholesale	2,568	16.1%	86.4%	2,548	2,586	2,638	2,690	2,744
ICT and associated telecom services	1,883	11.8%	19.4%	2,031	2,255	2,480	2,703	2,920
Total revenue	15,905	100.0%		16,593	17,240	18,011	18,734	19,424

Contribution — revenue x the margin path	FY26E	FY27E	FY28E	FY29E	FY30E
Mobile	4,383	4,457	4,601	4,728	4,846
Fixed	4,123	4,349	4,569	4,774	4,968
Wholesale	2,201	2,234	2,279	2,324	2,371
ICT and associated telecom services	394	451	508	568	628
Total contribution	11,101	11,491	11,958	12,394	12,812

Operating expense stack — one escalator p	FY26E	FY27E	FY28E	FY29E	FY30E
Staff (wage escalator)	985	1,005	1,025	1,045	1,066
Network & maintenance (network-scale escalat	993	1,023	1,053	1,085	1,117
Marketing (% of revenue)	299	310	324	337	350
Telecom licence and related fees (% of revenue	448	465	486	506	524
Administrative (CPI escalator)	193	197	201	205	209
Other operating expense (CPI escalator)	136	139	141	144	147
Expected credit losses (% of revenue)	241	250	261	272	282
Less other operating income	(15)	(15)	(15)	(15)	(15)
Total operating expenses before D&A	3,279	3,374	3,477	3,579	3,681
Group EBITDA (contribution less the opex	7,822	8,117	8,481	8,815	9,132
Group EBITDA margin	47.1%	47.1%	47.1%	47.1%	47.0%

The unit build behind Mobile and Fixed (tr	FY26E	FY27E	FY28E	FY29E	FY30E
Mobile subscribers, end of year ('000)	9,450	9,760	10,010	10,240	10,450
Average mobile base ('000) — (prior end + end	9,365	9,605	9,885	10,125	10,345
Blended mobile ARPU (AED/month)	63.4	63.6	63.8	64.0	64.2
Unit-implied mobile revenue — average base x -		7,331	7,568	7,776	7,970
Pasted mobile segment revenue (the build outp	7,209	7,331	7,568	7,776	7,970
Check — unit-implied less pasted	-	-	-	-	-

FY2025 reconciliation: average base 9,310k x ARPU 63.3 x 12 = 7,072 vs the audited mobile segment 7,075 (−0.04%). Wholesale and ICT have no disclosed unit KPIs — segment-level growth is the finest sourced level, and that gap is flagged.

Relative multiples and normalised earnings power

Relative lens	Value			
FY2026E earnings per share (AED)	0.70			
Justified price / earnings (GCC peer median)	15.50x			
Implied value at 31-Dec-2025 (AED)	10.79			
Anchor accretion factor	1.0377			
Less final FY2025 dividend paid 28-Apr-2026 (AED)	0.40			
Implied value per share at the anchor (AED)	10.80			
Bear at 12.0x (C) / bull at 18.5x (D), same construction	8.27		12.96	
Trailing price / earnings	19.19x			
Trailing enterprise value / EBITDA	7.56x			
Dividend-yield cross: FY2026E dividend per share (AED)	0.68			
Peer benchmark dividend yield	5.2%			
Implied value from the yield cross (AED)	13.12			
Normalised earnings lens — mid-cycle margin (FY2028E) aValue				
Current-scale revenue (FY2026E, AED mn)	16,593			
Mid-cycle EBITDA margin (FY2028E)	47.1%			
Normalised EBITDA (AED mn)	7,813			
Normalised EBIT (AED mn) — less FY2026E depreciation and amortisation	5,578			
Net finance income (FY2026E, AED mn)	4			
Normalised net profit (AED mn)	3,150			
Normalised earnings per share (AED)	0.69			
Implied value per share at the anchor (AED)	10.78	bear 12.0x (E) / bu	8.25	12.94
Book lens	Value			
Book value per share (AED)	2.24			
Sustainable return on equity	27.0%			
Trailing return on equity	29.0%			
Perpetual (terminal) cost of equity — a steady-state multiple takes a steady-state ra	6.2%			
Justified price / book	6.66x			
Implied value per share at the anchor (AED)	15.07	bear / bull constru	9.74	16.34

Discounted cash flow — the full waterfall

Every line is a live formula: the cost of capital is built below, the glide is derived from the AED risk-free path, and the terminal value is capitalised at the terminal rate and discounted at the year-5 factor

AED mn	FY26E	FY27E	FY28E	FY29E	FY30E
Revenue	16,593	17,240	18,011	18,734	19,424
EBITDA	7,822	8,117	8,481	8,815	9,132
EBITDA margin	47.1%	47.1%	47.1%	47.1%	47.0%
Less depreciation and amortisation	(2,235)	(2,352)	(2,448)	(2,530)	(2,582)
EBIT	5,587	5,765	6,032	6,284	6,549
NOPAT — EBIT x (1 - 43.6% combined royalty and tax)	3,153	3,253	3,404	3,546	3,696
Add back depreciation and amortisation	2,235	2,352	2,448	2,530	2,582
Less capital expenditure	(2,572)	(2,586)	(2,612)	(2,529)	(2,525)
Less lease replacement (at right-of-use depreciation)	(355)	(350)	(345)	(340)	(335)
Less change in working capital	46	43	52	48	46
Free cash flow to the firm	2,507	2,712	2,947	3,256	3,464
Forward cost of capital	6.24%	6.19%	6.12%	6.07%	6.01%
Discount factor	0.9413	0.8864	0.8352	0.7874	0.7428
Present value of FCFF	2,359	2,404	2,462	2,564	2,573

TERMINAL VALUE, BRIDGE AND THE ANCHOR ROLL

Terminal-year NOPAT grown one year (AED mn)	3,788
Terminal return on invested capital	26.7%
Required reinvestment rate (g / return on capital)	9.4%
Terminal growth	2.5%
Terminal cost of capital	6.0%
Terminal value — terminal-year NOPAT C21 x (1–C23), capitalised (AED mn)	97,871
Present value of the five forecast years (AED mn)	12,362
Present value of the terminal value (AED mn)	72,697
Terminal value as a share of enterprise value	85.5%
Enterprise value (AED mn)	85,059
Equity value (AED mn)	85,370
Fair value per share at 31-Dec-2025 (AED)	18.83

COST OF CAPITAL — BUILT HERE, NOT ASSUMED

Risk-free rate — Jan-2031 AED T-bond (longest liquid AED tenor)	4.48%
Less UAE sovereign default spread (removed to avoid double-counting)	0.42%
Risk-free rate net of the sovereign spread	4.06%
Beta (DU weekly vs its own index, the DFM General, 5 years)	0.472
Equity risk premium (UAE total, rating basis)	4.87%
Cost of equity, explicit window	6.36%
Marginal cost of debt (AED sovereign + GCC telecom spread)	5.10%
Cost of debt after tax (interest shields both fiscal legs)	2.88%
Market capitalisation (AED mn)	55,755
Lease liabilities — the only debt-like item (AED mn)	1,939
Debt weight (leases / (leases + market capitalisation))	3.36%
Equity weight	96.64%
Cost of capital, explicit window	6.24%
Terminal risk-free rate	4.30%
Terminal risk-free net of the sovereign spread	3.88%
Terminal cost of equity	6.18%
Terminal cost of debt	4.90%
Terminal cost of debt after tax	2.77%
Terminal debt weight	5.00%
Terminal cost of capital	6.01%

The glide — inherited from the AED risk-free path, FY26E	FY27E	FY28E	FY29E	FY30E	
AED risk-free path	4.48%	4.44%	4.39%	4.35%	4.30%
Glide fraction — cumulative progress of the easing	0.00%	22.22%	50.00%	72.22%	100.00%

Note: row 16 above is the explicit-window cost of capital walked down to the terminal rate by the glide fraction on row 58. du carries no debt whose cost could define the glide, so the cost-of-money path itself (the AED risk-free path) does — the shape is inherited, not a second free parameter.

THE ANCHOR ROLL — one date, one price of time

Anchor accretion factor — (1 + cost of equity)^(days to anchor / 365)	1.0377
Fair value per share at the 07-Aug-2026 anchor (AED)	19.14

The bridge on row 32 is dated 31-Dec-2025 (the audited balance-sheet date it nets leases and cash at). Row 63 rolls it to the anchor at the cost of equity, net of the AED 0.40 final FY2025 dividend paid 28-Apr-2026. Every lens on every sheet is rolled the same way. The H1-2026 interim dividend of AED 0.26 (declared 23-Jul-2026, unpaid at the anchor) stays in the share.

Income statement – three years historical, five years forecast

AED mn, consolidated. History is the audited record; every forecast line is a formula

AED mn	FY2023	FY2024	FY2025	FY26E	FY27E	FY28E	FY29E	FY30E
Revenue	13,636	14,636	15,905	16,593	17,240	18,011	18,734	19,424
Direct costs (interconnect, commissions, devices) -		(4,818)	(5,259)	(5,492)	(5,749)	(6,053)	(6,340)	(6,612)
Segment contribution	-	9,817	10,646	11,101	11,491	11,958	12,394	12,812
Operating expenses before D&A	-	(3,348)	(3,308)	(3,279)	(3,374)	(3,477)	(3,579)	(3,681)
EBITDA		5,800	6,470	7,338	7,822	8,117	8,481	8,815
EBITDA margin	42.5%	44.2%	46.1%	47.1%	47.1%	47.1%	47.1%	47.0%
Depreciation and amortisation	(2,198)	(2,154)	(2,168)	(2,235)	(2,352)	(2,448)	(2,530)	(2,582)
Operating profit (EBIT)		3,601	4,316	5,170	5,587	5,765	6,032	6,284
Interest income		61	82	75	74	55	39	26
Interest expense (principally leases)		(101)	(90)	(95)	(70)	(70)	(70)	(70)
Share of equity-accounted investments		(3)	(2)	(1)				
Profit before federal royalty and income tax		3,559	4,306	5,149	5,591	5,750	6,002	6,241
Federal royalty and income tax		(1,891)	(1,819)	(2,144)	(2,436)	(2,505)	(2,615)	(2,719)
Net profit		1,668	2,488	2,905	3,155	3,245	3,387	3,522
Earnings per share (AED)		0.37	0.55	0.64	0.70	0.72	0.75	0.78
Dividend per share (AED)		0.34	0.54	0.64	0.68	0.70	0.73	0.76

Notes: FY2024-25 are the audited IFRS 18 face (EBITDA is printed); FY2023 predates IFRS 18 – its by-nature split is not shown (“-”) and its EBITDA is derived from audited components and flagged. The historical profit-before-royalty line is the printed figure (small net-impairment items keep it from being a three-line sum; the forecast has none). FY2023 royalty is the old-regime charge (15% of regulated revenue + 30% of regulated profit); no corporate income tax existed before 2024.

Balance sheet – condensed

Notes to the financial statements

2023-2024

2024-2025

2025-2026

2026-2027

2027-2028

2028-2029

2029-2030

2030-2031

AED mn	FY2023	FY2024	FY2025	FY2026	FY27E	FY28E	FY29E	FY30E
Property, plant and equipment	9,723	9,838	10,289	10,887	11,403	11,860	12,173	12,432
of which depreciation charge (minus)	1,544	1,569	1,558	1,629	1,753	1,865	1,877	1,927
Right-of-use assets	1,597	1,607	1,515	1,515	1,515	1,515	1,515	1,515
Intangible assets (net, goodwill)	1,111	847	878	963	1,051	1,083	1,109	1,127
of which amortisation charge (minus)	209	210	246	251	278	298	313	320
Goodwill	-	413	413	413	413	413	413	413
Net working capital (royalty accrual excluded)	(963)	(1,220)	(1,852)	(1,188)	(1,152)	(1,203)	(1,251)	(1,297)
Cash and term deposits	1,307	2,283	2,296	1,687	1,191	892	562	423
Lease liabilities (the only debt-like item)	2,105	1,999	1,939	1,939	1,939	1,939	1,939	1,939
Total equity	9,243	9,878	10,148	10,211	10,276	10,344	10,414	10,488
Net cash after lease liabilities	(148)	265	211	(272)	(748)	(1,157)	(1,357)	(1,515)
Lease liabilities / EBITDA	0.36x	0.31x	0.28x	0.25x	0.24x	0.23x	0.22x	0.21x

Notes: a CONDENSED layout – receivables, payables, contract balances and the royalty accrual are netted inside the working-capital line, so the sheet does not foot to total assets. The FY2023 payables line still contained the royalty accrual (AED 1.832bn, separately disclosed from FY2024); it is excluded here in every year so the series is like-for-like. The lease book is half flat (replacement + depreciation), the FY2023 goodwill balance is carried unchanged. Cash and term deposits roll forward from profit less the –88% payout – the 91-2026 interest term deposits ad at 30-Jan-2026 after the AED 4.1bn equity-plus-dividend outflow) show exactly this mechanic next year.

Cash flow — historical markers and the forecast waterfall

AED mn

AED mn	FY2024	FY2025	FY26E	FY27E	FY28E	FY29E	FY30E
EBITDA	6,470	7,338	7,822	8,117	8,481	8,815	9,132
Federal royalty and income tax paid	(1,929)	(1,883)					
Net cash generated from operating activities	4,637	5,230					
Purchase of PP&E and intangibles	(1,920)	(2,353)					
NOPAT	-	-	3,153	3,253	3,404	3,546	3,696
Add back depreciation and amortisation	-	-	2,235	2,352	2,448	2,530	2,582
Capital expenditure	-	-	(2,572)	(2,586)	(2,612)	(2,529)	(2,525)
Lease replacement	-	-	(355)	(350)	(345)	(340)	(335)
Change in working capital	-	(158)	46	43	52	48	46
Free cash flow to the firm	-	-	2,507	2,712	2,947	3,256	3,464
Dividends paid	(1,858)	(2,629)	(3,092)	(3,180)	(3,319)	(3,451)	(3,594)
Cash conversion — operating cash flow as a share of EBITDA, FY2025		71.3%					

du converts EBITDA to operating cash at over 70% AFTER the 43.6% fiscal take — the negative-working-capital model means growth releases cash. The constraint on equity cash flow is the ~100% payout plus the data-centre capex ramp, which is why term deposits fell to nil at 30-Jun-2026.

Summary financials — the eight-year picture

AED mn unless stated. Every cell on this sheet is a link or a ratio; nothing is typed twice

AED mn	FY2023	FY2024	FY2025	FY26E	FY27E	FY28E	FY29E	FY30E
Revenue	13,636	14,636	15,905	16,593	17,240	18,011	18,734	19,424
Revenue growth	-	7.3%	8.7%	4.3%	3.9%	4.5%	4.0%	3.7%
EBITDA	5,800	6,470	7,338	7,822	8,117	8,481	8,815	9,132
EBITDA margin	42.5%	44.2%	46.1%	47.1%	47.1%	47.1%	47.1%	47.0%
EBIT	3,601	4,316	5,170	5,587	5,765	6,032	6,284	6,549
Net profit	1,668	2,488	2,905	3,155	3,245	3,387	3,522	3,667
Free cash flow to the firm	-	-	-	2,507	2,712	2,947	3,256	3,464
Net cash after lease liabilities	(168)	285	311	(272)	(748)	(1,137)	(1,357)	(1,515)
Invested capital	-	11,536	12,025	12,671	13,212	13,668	13,959	14,190
Return on invested capital (average capital)	-	-	-	25.5%	25.1%	25.3%	25.7%	26.3%

Invested capital = PP&E + right-of-use assets + intangibles + goodwill + net working capital (negative for du). FY2023 is not shown because goodwill was not disclosed as a separate line that year.

Probabilistic price map

A map of price dispersion. It carries no view on value and is never blended with the valuation. Each figure is an engine output, not a formula.

Horizon	5th	25th	Median	75th	95th	P(above spot)
One month — to 2026-09-07	10.85	11.71	12.28	12.89	13.88	49.2%
Three months — to 2026-11-09	9.82	11.26	12.26	13.35	15.32	49.0%

Level event	One month	Three months
Finishes 10% or more above spot	9.1%	21.9%
Finishes 10% or more below spot	7.9%	21.0%
Touches 10% above spot at any point	15.2%	40.5%
Touches 10% below spot at any point	12.8%	37.9%

Engine setting	Value
Simulated paths	50,000
Annualised volatility (3-month anchor)	28.1%
Spot price (AED)	12.30
Anchor date	2026-08-07

Sensitivity — what the valuation needs the world to do

AED per share. Each cell is a complete re-run of the model, including the unit build, so these grids are engine outputs rather than formulas and do NOT redraw when a driver is changed.

Terminal cost of capital (rows) x terminal growth (columns)

	1.5%	2.0%	2.5%	3.0%	3.5%
5.01%	20.09	22.70	26.35	31.81	40.88
5.51%	17.71	19.61	22.15	25.69	30.99
6.01%	15.86	17.30	19.14	21.60	25.03
6.51%	14.37	15.49	16.89	18.68	21.06
7.01%	13.16	14.05	15.13	16.48	18.22

Explicit-window cost of capital (columns) x terminal cost of capital (rows)

	5.24%	5.74%	6.24%	6.74%	7.24%
terminal 5.01%	26.99	26.67	26.35	26.04	25.73
terminal 5.51%	22.68	22.41	22.15	21.89	21.63
terminal 6.01%	19.61	19.37	19.14	18.92	18.69
terminal 6.51%	17.29	17.09	16.89	16.69	16.49
terminal 7.01%	15.49	15.31	15.13	14.95	14.78

Single-driver sensitivities — five engine re-runs per row; the parameter grid for each row is shown beside its name

Driver (parameter grid)						Swing
Beta (regression CI ends, then priors) (0.38 / 0.47 / 0.57 / 0.65 / 0.80)	19.48	17.30	15.44	14.19	12.30	7.18
Combined fiscal take (Framing B ~51.5%) (40.0% / 43.6% / 47.0% / 5	20.51	19.14	17.83	16.68	15.49	5.02
Blended ARPU multiplier (0.92x / 0.96x / 1.00x / 1.04x / 1.08x)	17.15	18.14	19.14	20.14	21.14	3.99
Subscriber path shift ('000) (-400 / -200 / +0 / +200 / +400)	18.19	18.67	19.14	19.62	20.09	1.90
Contribution margins, multiplicative (0.94x / 0.97x / 1.00x / 1.03x / 1	16.60	17.87	19.14	20.41	21.69	5.08
Capex path multiplier (0.850x / 0.925x / 1.000x / 1.100x / 1.200x)	20.21	19.68	19.14	18.43	17.72	2.48
Working capital / revenue (-10.0% / -8.5% / -6.7% / -5.0% / -3.0%)	19.36	19.26	19.14	19.03	18.91	0.45
Terminal return on invested capital (18.0% / 22.0% / 26.7% / 30.0% /	18.31	18.78	19.14	19.33	19.51	1.20
Terminal growth (at base cost of capital) (1.5% / 2.0% / 2.5% / 3.0% /	15.86	17.30	19.14	21.60	25.03	9.18

Per-share and ratio analysis

The indicator set for an integrated telecom operator: ARPU, subscribers, margin, capital intensity, cash conversion and the dividend. Every ratio is a formula off the statements.

Measure	FY2023	FY2024	FY2025	FY26E	FY27E	FY28E	FY29E	FY30E
Earnings per share (AED)	0.37	0.55	0.64	0.70	0.72	0.75	0.78	0.81
Dividend per share (AED)	0.34	0.54	0.64	0.68	0.70	0.73	0.76	0.79
Payout ratio	92.4%	98.4%	99.9%	98.0%	98.0%	98.0%	98.0%	98.0%
Dividend yield at the anchor spot	2.8%	4.4%	5.2%	5.5%	5.7%	6.0%	6.2%	6.4%
Book value per share (AED)	2.04	2.18	2.24	2.25	2.27	2.28	2.30	2.31
Free cash flow to the firm per share (AED)	-	-	-	0.55	0.60	0.65	0.72	0.76
EBITDA margin	42.5%	44.2%	46.1%	47.1%	47.1%	47.1%	47.1%	47.0%
EBIT margin	26.4%	29.5%	32.5%	33.7%	33.4%	33.5%	33.5%	33.7%
Net margin	12.2%	17.0%	18.3%	19.0%	18.8%	18.8%	18.8%	18.9%
Return on equity	-	-	26.0%	29.0%	31.0%	31.7%	32.8%	33.9%
Return on invested capital	-	-	-	25.5%	25.1%	25.3%	25.7%	26.3%
Capital expenditure / revenue (capital intensity)	-	-	-	15.5%	15.0%	14.5%	13.5%	13.0%
Lease liabilities / EBITDA	0.36x	0.31x	0.26x	0.25x	0.24x	0.23x	0.22x	0.21x
Working capital / revenue	(7.1%)	(8.3%)	(6.7%)	(6.7%)	(6.7%)	(6.7%)	(6.7%)	(6.7%)
Operating KPIs (company-disclosed history, house forecast)								
Mobile subscribers, end of year ('000)	8,916	-	9,704	9,450	9,760	10,010	10,240	10,450
Fixed subscribers, end of year ('000)	682	-	735	760	790	815	838	858
Blended mobile ARPU (AED/month)	-	-	65.8	63.3	63.4	63.6	63.8	64.0

Mobile subscriber history: 8,916k (Q4-2024), 9,704k (Q4-2025) — the FY2024 column carries the Q4-2024 base and the ARPU column the company's quarterly prints (65.8 Q4-2024, 63.3 FY2025). Q2-2026 actual: 9,280k after the war quarter (−412k), the base the forecast recovers from.

Peer frame and sector context

Aggregator multiple reads, labelled cross-check — never a build source. du computed from its own audited figures

Company	Market	Trailing P/E	Dividend yield	Relevance / caution
e& (EAND)	UAE (ADX)	~20.7x	~4.8%	the other half of the duopoly; scale, international assets and a higher multiple
stc	Saudi Arabia	~18.9x	~5.2%	regional benchmark payer; the yield anchor for the cross-check
Mobily	Saudi Arabia	~15.5x	~2.9%	closest structural analogue — the #2 operator that closed the gap; the justified P/E
Ooredoo	Qatar	~12.5x	~4.6%	multi-market; softer growth, lower multiple
Zain	Kuwait	~9x	~6-7%	levered multi-market; the low end of the bracket
Omantel	Oman	~11.4x	~6.7%	small-market incumbent; yield-heavy
Deutsche Telekom / Vodafone	Developed markets	n/m	3.4% / n/m	the developed-market bracket: slower growth, more leverage, lower returns
du own multiples (computed live)	Value			
Trailing price / earnings	19.19x			
Trailing enterprise value / EBITDA	7.56x			
Trailing dividend yield (FY2025 DPS / spot	5.2%			
Justified price / earnings applied	15.50x			

Peer EV/EBITDA was not reliably sourceable from public aggregators at the sweep date (net-debt figures missing); the relative lens therefore runs on P/E and dividend yield, both sourced, and that limitation is stated rather than papered over.